

Economics 154: The Global Economy: Trade, Finance, and Policy

Lecture 1 Notes: What Is Economics, and Why Study the Global Economy?

Professor Daniel Riera-Crichton
Bates College

Fall 2026

Purpose of the First Class

The first class has three goals. First, it introduces the course and explains why economics is useful for understanding contemporary global issues. Second, it previews the core habits of economic reasoning: thinking in terms of scarcity, incentives, tradeoffs, opportunity costs, models, and evidence. Third, it explains the data-literacy component of the course: students will learn how to find economic data, organize it in Excel, create informative tables and figures, and use evidence to support economic arguments.

This is not a course about memorizing formulas. It is a course about learning how economists organize complex social questions so that we can reason about them more clearly.

1 What Is Economics?

A useful starting definition is:

Economics is the study of how individuals, firms, governments, and societies make choices under conditions of scarcity, and how those choices shape the allocation of resources.

The key word is *scarcity*. Scarcity does not mean poverty. It means that resources—time, income, land, labor, attention, energy, and institutional capacity—are limited relative to the many things people want. Because resources are limited, choices are unavoidable. Because choices are unavoidable, tradeoffs are unavoidable. This is the central logic behind the economic way of thinking.

OpenStax introduces this idea by emphasizing that people live in a world where they cannot have all the time, money, possessions, and experiences they might want ([OpenStax, 2022](#)). CORE Econ similarly frames scarcity as a problem of choice among feasible alternatives ([CORE Econ](#),

2026). In this course, we will use this idea repeatedly: students choose how to allocate time; households choose how to spend income; firms choose what to produce; governments choose how to tax and spend; countries choose how open they want to be to trade, migration, and capital flows.

2 The Basic Economic Vocabulary

Scarcity

Scarcity exists whenever available resources are insufficient to satisfy all wants. Scarcity forces choices.

Opportunity Cost

The opportunity cost of a choice is the value of the next-best alternative that must be given up. If a student spends two hours studying economics, those two hours cannot be spent sleeping, working, practicing a sport, or seeing friends. The cost of studying is not only the effort involved; it is also the best alternative use of that time.

This concept is central because many economic costs are not visible as explicit payments. A free public event still has an opportunity cost if attending it requires time. A government policy may have a budgetary cost, but it may also have an opportunity cost if public funds could have been spent elsewhere.

Incentives

An incentive is anything that changes the benefits or costs of an action. Prices, wages, taxes, subsidies, grades, laws, social norms, and expectations can all create incentives. Economists often ask: if the benefits or costs of an action change, how will behavior respond?

Markets

A market is any setting in which buyers and sellers interact. Markets do not need to be physical places. There are markets for food, housing, labor, loans, currencies, oil, college textbooks, and concert tickets. Later in the course, we will study both product markets and international currency markets.

3 Economics as a Way of Thinking

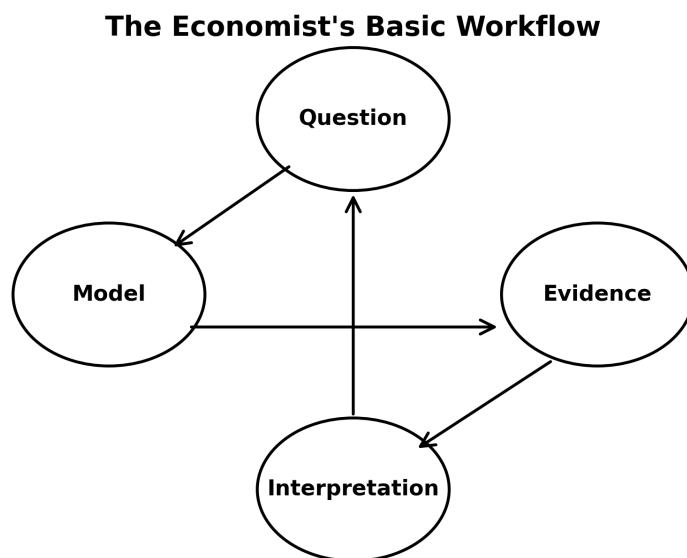
Economics often begins with a question. For example:

- Why did inflation rise after the pandemic?
- Why do countries trade with each other?
- Who gains and who loses when tariffs increase?

- Why does the value of the dollar change?
- Why do some countries grow faster than others?

Economists then build simplified models to organize thinking. A model is not a perfect description of reality. It is a simplified representation designed to clarify one mechanism at a time. A map is useful precisely because it leaves out unnecessary detail. Economic models work in a similar way.

After developing a model, economists compare its predictions with evidence. This is why data will be central in this course.



Good economic analysis asks a clear question, uses a simplified model, checks the model against evidence, and revises the interpretation.

Figure 1: The economist's basic workflow: question, model, evidence, and interpretation.

4 Why a Global Theme?

The theme of the course is the global economy because many economic choices today cross national borders. A household buying a phone, a firm sourcing inputs, a government setting tariffs, a student traveling abroad, or a central bank responding to exchange-rate movements is participating in a global economic system.

The IMF defines economic globalization as the increasing integration of economies around the world, especially through movements of goods, services, and capital across borders; it also notes that the term can include movements of people and knowledge ([International Monetary Fund, 2008](#)). The Peterson Institute similarly describes globalization as growing interdependence among economies, cultures, and populations through cross-border trade, technology, investment, people, and information ([Peterson Institute for International Economics, 2018](#)).

For this course, we will treat globalization as a set of cross-border flows:

- goods and services,
- capital and finance,
- people and migration,
- technology, information, and ideas.

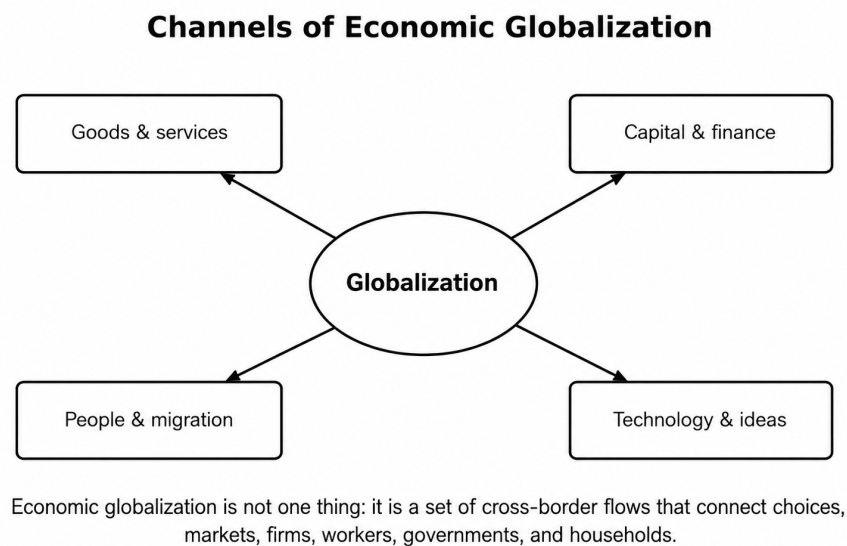


Figure 2: Four channels of economic globalization.

5 A Simple Example: The Smartphone

Consider a smartphone. The design may come from one country, the operating system from another, the chips from several others, rare minerals from multiple continents, final assembly from another region, and consumers from around the world. The phone is a physical object, but it embodies many economic relationships:

- trade in goods,
- trade in services,
- intellectual property,
- foreign investment,
- exchange rates,
- labor markets,
- industrial policy,

- geopolitical risk.

The smartphone example is useful because it shows that international economics is not remote or abstract. It appears in everyday consumption, prices, jobs, technology, and public policy.

6 Economic Data Literacy

A major goal of the course is to help students become better readers and users of economic data. Many public debates rely on economic numbers: inflation rates, unemployment rates, GDP growth, trade deficits, exchange rates, tariffs, debt, wages, and poverty rates. These numbers can be useful, but only if we know what they measure and what they leave out.

We will use public data sources such as:

- FRED, an online database maintained by the Federal Reserve Bank of St. Louis that contains hundreds of thousands of economic time series from many sources ([Federal Reserve Bank of St. Louis, 2026](#));
- the World Bank's World Development Indicators, a major source of cross-country comparable development data ([World Bank, 2026](#));
- the Bureau of Economic Analysis, which defines GDP as the value of final goods and services produced in the United States ([U.S. Bureau of Economic Analysis, 2026](#)).

When working with data, students should ask five questions:

1. What exactly is being measured?
2. What is the unit of measurement?
3. What is the time period?
4. What is the source?
5. What interpretation is justified by the data, and what interpretation is not?

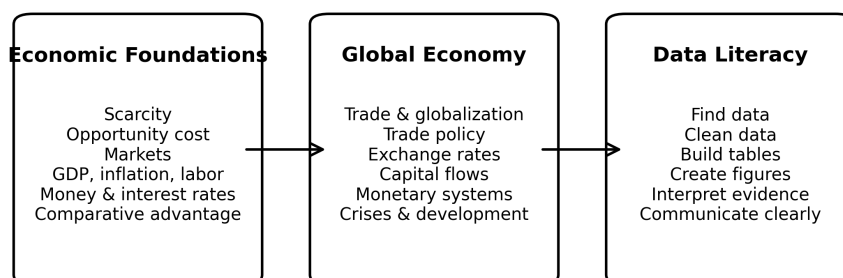
7 Preview of the Course

The course has three connected parts.

Part I: Economic Foundations

We begin with scarcity, opportunity cost, incentives, supply and demand, GDP, inflation, unemployment, labor markets, money, interest rates, and comparative advantage.

Course Architecture: Economics as a Toolkit for Understanding the Global Economy



The course builds intuition first, then applies it to international economic issues using real data.

Figure 3: The course moves from foundations to global applications while developing data-literacy skills.

Part II: The Global Economy

We then apply these concepts to trade, globalization, trade policy, exchange rates, capital flows, central banks, financial crises, development, and migration.

Part III: The Future of the Global Economy

The course ends by considering climate change, technology, artificial intelligence, geopolitics, and deglobalization.

8 Key Terms from Lecture 1

Concept	Plain-language meaning	Question it helps answer	Later course connection
Scarcity	Resources are limited relative to wants.	What choices must be made?	Opportunity cost; tradeoffs
Opportunity cost	The value of the next-best alternative forgone.	What do we give up?	Comparative advantage; policy tradeoffs
Market	A setting where buyers and sellers interact.	How are prices determined?	Supply and demand; exchange rates

GDP	Value of final goods and services produced in an economy.	How large is the economy?	Growth; living standards; trade openness
Inflation	Sustained increase in the overall price level.	Why does money buy less over time?	Central banks; exchange rates
Exchange rate	Price of one currency in terms of another.	Why does travel or importing become cheaper or more expensive?	International finance

9 What Students Should Take Away

By the end of the first class, students should understand the broad purpose of the course. Economics is not only about money or business. It is a way of thinking about choices, tradeoffs, incentives, institutions, and evidence. The global economy provides the central theme because many of the most important economic issues today involve cross-border connections.

References

CORE Econ (2026). Decision-making and scarcity.

Federal Reserve Bank of St. Louis (2026). What is fred?

International Monetary Fund (2008). Globalization: A brief overview.

OpenStax (2022). Principles of economics 3e, chapter 2: Choice in a world of scarcity.

Peterson Institute for International Economics (2018). What is globalization?

U.S. Bureau of Economic Analysis (2026). Gross domestic product.

World Bank (2026). World development indicators.